

count was 20 percent higher than the real number that we could actually trust.

What's more, we now have pro forma earnings—a ghastly formulation that makes new use (or, again, abuse) of a once-respectable term—that report corporate results net of unpleasant developments. Such “no bad stuff” calculations are one more step in the wrong direction. Even auditor-certified earnings have come under doubt, as the number of corporate earnings restatements has soared nearly 18-fold—from 90 in 1997 to 1,577 in 2006. Does that sound like punctilious corporate financial reporting? Hardly. Indeed, it sounds like precisely its opposite.

Loose accounting standards (i.e., loose *counting*) have made it possible to create, out of thin air, what passes for earnings. One popular method is making an acquisition and then taking giant charges described as nonrecurring, only to be reversed in later years when needed to bolster sagging operating results. But the breakdown in our accounting standards goes far beyond that: cavalierly classifying large items as immaterial, hyping the assumed future returns of pension plans, counting as sales those made to customers who borrowed the money from the seller to make the purchases, making special deals to force extra sales at quarter's end, and so on. If you can't merge your way into meeting the numbers, in effect, just change the numbers. But what we loosely describe as *creative* accounting is only a small step removed from *dishonest* accounting.

The Real-World Consequences of Counting

When our government in effect cooks the books by which we weigh the economy, when our financial institutions attribute certitude to history, and when our businesses practice a willful and self-serving optimism, the ripples extend far beyond unfortunate numeric abstractions. These deeply ingrained flaws have societal implications, and most of them are negative.